

The Standard Group Limited

Audited Results for the year ended 31st December 2014

The Board of Directors of The Standard Group Limited is pleased to announce the audited results for the year ended 31st December 2014

Consolidated Statement of Comprehensive Income for the year ended 31st December 2014

	31-Dec-2014 Audited Kshs'000	31-Dec-2013 Audited Kshs'000
Revenue	4,782,649	4,818,808
Total Operating Costs	(4,399,724)	(4,472,584)
Other Income	61,574	73,584
Finance Costs (net)	(118,416)	(119,128)
Profit before taxation	326,083	300,680
Earnings per share Basic- Kshs	2.57	2.41
Earnings per share Diluted- Kshs	2.57	2.41
Dividend per Share - Kshs	0.5	0.5

Consolidated Statement of Financial Position as at 31st December 2014

	31-Dec-2014 Audited Kshs'000	31-Dec-2013 Audited Kshs'000
ASSETS		
Non Current Assets	2,610,731	2,518,892
Current Assets	1,491,018	1,643,577
TOTAL ASSETS	4,101,749	4,162,469
EQUITY AND LIABILITIES		
Capital and Reserves		
Share Capital	408,654	408,654
Share Premium	39,380	39,380
Revenue Reserve	1,534,490	1,365,487
Capital Redemption Reserve	102	102
	1,982,626	1,813,623
Non-controlling interest	225,416	214,772
Total Shareholders Equity	2,208,042	2,028,395
Non Current Liabilities	670,765	712,243
Current Liabilities	1,222,942	1,421,651
TOTAL EQUITY AND LIABILITIES	4,101,749	4,136,762

Condensed Consolidated Statement of Cashflow for the year ended 31 December 2014

	31-Dec-2014 Kshs'000	31-Dec-2013 Kshs'000
Cashflow from operating activities		
Cash generated from operations	685,837	515,645
Interest Paid	(118,416)	(119,128)
Tax paid	(83,490)	(136,217)
Net cash generated from operating activities	483,931	260,300
Cashflows: Investing activities	(407,687)	(456,797)
Cashflows: Financing activities	(31,986)	149,395
Net increase/ (Decrease) in cash and cash equivalents	44,258	(47,102)
Cash and cash equivalents at the beginning of the year	(323,589)	(276,487)
Cash and cash equivalents at the end of the period	(279,331)	(323,589)

Consolidated Statement of Changes in Equity for the year ended 31 December 2014

	Share Capital	Share Premium	Capital Redemption Reserve	Retained Earnings	Attributable to equity holders of parent	Minority Interest	Shareholders equity Total
	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
As at 1st January 2013	408,654	39,380	102	1,168,075	1,616,211	222,691	1,838,902
Profit for the period	-	-	-	197,412	197,412	(7,919)	189,493
At 31st December 2013	408,654	39,380	102	1,365,487	1,813,623	214,772	2,028,395
As at 1st January 2014	408,654	39,380	102	1,365,487	1,813,623	214,772	2,028,395
Profit for the period	-	-	-	209,870	209,870	10,644	220,514
Dividend Paid	-	-	-	(40,866)	(40,866)	-	(40,866)
At 31st December 2014	408,654	39,380	102	1,534,491	1,982,626	225,416	2,208,042

GROUP RESULTS

The Group achieved a turnover of Sh4.8 billion in 2014 thereby maintaining the same turnover level as 2013. The key drivers for this performance were the Print, Television and Radio advertising streams that saw a growth of 8%, 6% and 66% respectively, despite the challenging business environment in 2014.

The Group realised a profit before tax of Sh326 million representing 8% growth from Sh301 million in 2013. This performance was as a result of initiatives by management to improve process controls through automation, thereby strengthening the control environment, as well as cost management to ensure improved efficiencies in the running of the business.

Operating Environment

The year 2014 was challenging for the media business in general. The following factors were however significant in defining performance:

Newsprint prices globally have been on the decline and prudent cost management has had a positive impact on the cost of production for the print business. Radio Maisha continued to grow both in listenership and reach which is the result of investments by the Group in new transmission sites and is now ranked posit on three up from five in the latest radio research rankings. The Standard Digital platform has continued its leadership in this area that has seen growth in revenues of 37% from 2013.

Despite the uncertainty around digital migration at the start of 2014, Television registered impressive performance for the year. The Standard Group in partnership with other media houses will invest in digital distribution infrastructure so as to carry their own content and expand television offering beyond the existing channels. Going forward, the Group will seek partnerships to pursue pay television business.

The Group in 2014, commenced significant investment in business automation aimed at creating operational efficiencies to spur growth and assure sustainable growth.

Outlook for 2015

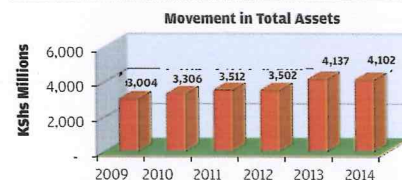
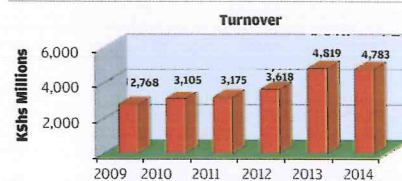
The World Bank projects a 6.6% growth in GDP for the current year. We therefore expect a more robust economic environment which should provide new business opportunities. The Group is looking to tap into this economic growth to spur business growth. On the other hand, the government has put in place measures to shift advertising spend from the print media to digital platforms. Management is therefore putting in place measures to grow print business in alternative sectors to bridge this gap in 2015. The Board is optimistic that with the strengthening of the economy business should grow, though caution should be exercised due to the current challenges surrounding TV and Newspaper advertising.

Dividend

The Board recommends a final dividend of KSh0.50 per share for the year 2014, subject to withholding tax where applicable and shareholders approval at the Annual General Meeting to be held on 29th May 2015.

BY ORDER OF THE BOARD

Ronald Luby
Company Secretary
13 March 2015



[Signature] 18/3/15